

Topic 2 – SEMINAR 2

Topic: Historic Preservation Policies

Format: Case Study / Debate

Questions: (How much) Should the government intervene in property markets to preserve historic building structures?

Working Subgroups A (A1 and A2)

General Information

Historic preservation policies take place in many parts of the world. They represent a potent form of regulation as owners' property rights are seriously constrained to preserve buildings that are perceived to exhibit an external value to society.

Several important questions arise: Can the benefits of preservation policies justify the related costs? What level of protection is optimal? Who should pay?

The point of departure is the observation that markets themselves will not provide efficient outcomes if market failures (externalities, public goods) are present. This calls for regulation following the standard welfare economics argument. These regulations— via correcting market failures—have the potential to generate social benefits. However, public funds are often made available to owners of historic properties to compensate for development constraints and maintenance obligations. Such subsidies (i.e., costs to the taxpayer) must be weighed against the social benefits. In addition, and perhaps more crucially, any regulation also comes at a potential social cost (government failures, general equilibrium effects not intended by policymakers) that also needs to be considered.

Proponents of preservation policies argue that the policies contribute to the stabilization and revitalization of neighbourhoods by stimulating economic investment and the emergence of a “place identity”, which induces a range of positive secondary effects. Recent research emphasizes an ‘amenity effect’, which should be reflected in an increased willingness to pay for living space close to historical landmarks. At the same time, recent research also indicates that regulatory frameworks have adverse effects. They contribute to constraining the land supply for residential and commercial (re-)construction, thereby giving rise to significant price rises and affordability concerns. Preservation policies may also discourage or prevent energy efficiency installations altogether and thereby generate social costs in the form of sub-optimal (i.e., excessive) carbon emissions.

General task

Each seminar group (the morning and afternoon group) is divided into three *Working Subgroups* (A1, B1 and C1) and (A2, B2 and C2). See the separate handouts for details on the Working Subgroup allocation and the allocation of presenters. The three Working Subgroups, A, B, and C, in each of the two seminar groups have the following roles:

A: Lobbyists for unregulated markets (developers & advocates of affordable housing). No to historic preservation policies! Replacing and modifying buildings should be possible within the general constraints of land use zones and building codes.

- B: **Policymakers ('judges' / task force).** Have to make a judgement call on the proposals the two lobbying groups provided.
- C: **Lobbyists for historic preservation (conservationists).** Built heritage needs to be preserved due to intrinsic and external values! Owners' property rights must be constrained and as many historic buildings preserved as possible.

"Homework" to be carried out before the seminar

Each seminar sub-group member must carry out some "homework". Your particular homework is outlined below under **"Specific Tasks for Working Subgroups A"**.

Members of Working Subgroups A and C will have to prepare arguments for their respective "cause" ahead of the seminar. The pre-selected presenters of each sub-group will then summarize their case in a PowerPoint presentation. Non-presenters are expected to support the presenters in preparing the slides, mainly by helping with the readings and summarizing the arguments. Presenters should reach out to non-presenters in good time to request any such support.

Members of Working Subgroup B should try to be as "neutral" as possible in their analysis of the question (i.e., try not to be guided by personal tastes, preferences, and ideology). The pre-selected presenters must prepare a presentation of what they think the optimal solution could be for New Urbitania. Non-presenters are expected to support the presenters in preparing the slides, mainly by helping with the readings and summarizing the arguments. Presenters should reach out to non-presenters in good time to request any such support. All members of sub-group B should prepare a list of critical questions they want the lobbying groups to answer to facilitate a qualified judgement on the net benefit of preservation (social benefits vs social costs).

During the seminar

After a brief introduction by the lecturer, the pre-selected presenters for the two lobby sub-groups, A and C, will have **up to ten minutes** to make their case to the judges. This case should outline the "solution" the lobby group proposes (with some detail) and the arguments for why the presenters arrived at their solution.

The judges (and the course lecturer) have the right to interrupt to ask questions of understanding. After each lobbyist group finishes their case, judges (and the course lecturer) and the "counter-lobbyists" have the right to ask questions to assess the lobbyists' cases critically. Judges (all members of Sub-Group B), in particular, should attempt to obtain answers to 'open questions'.

The pre-selected presenters of Working Subgroup B (the task force consisting of the "judges") will subsequently present their "optimal solution" for New Urbitania. This presentation shall last **up to ten minutes**. The presenters are also expected to comment on whether and how the lobbyists' cases have influenced their views (and whether they wish to revisit their proposed solution if they have the chance).

At the end of the debate, the lead judges (the two presenters of Working Subgroup B) may comment on which lobby group they think made a stronger case (and why).

The course lecturer may provide his views on the debate and critically review the judges' verdict. We may end with a general discussion that considers the students' experiences that are influenced by their upbringing in countries with vastly differing land use planning systems and systems of historic preservation.

The Case of New Urbitania

Consider the case of a hypothetical city, New Urbitania, with a long and glorious history, which after a troubled period (economic/political crisis, civil war that led to decay of properties, etc.), has finally entered a period of stability and a state of relative economic prosperity. The city has grown considerably over recent years, with new housing and office areas being developed at the **city fringes**. However, the old building stocks within the city's downtown area have largely been left behind by the development and have started to show signs of deterioration. Real estate developers are beginning to buy and replace historic housing blocks with contemporary developments as the old buildings do not meet tenants' requirements, which have become more affluent and demanding following the economic recovery.

In turn, the uncontrolled redevelopment of parts of New Urbitania's historic property stock triggered a media campaign by historians and conservationists called **PreserveThePast** (PTP). This campaign accused the developers of irretrievably destroying one of the nation's most important cultural heritages, the only widely visible traces of the glorious past. They call for politicians who need to stop the barbarians as soon as possible by introducing a "**City Preservation Act**" (CPA), which shall prevent the entire historic downtown from being replaced by an "international-style, anonymous, functional architecture". They argue that the historic downtown needs to be protected in its present form (or restored in the case of destruction), and owners should be obliged to invest in the renovation of the buildings so that the historic downtown can shine again in its old glory. According to the advocates, increasing tourism, spending impacts, and tax revenues would more than compensate for the cost of renovation of the historic structures.

The **National Association of Real Estate Developers** (NARED) refuses the accusations and argues that entrepreneurs, architects, and construction firms do their best to satisfy a growing nation's requirements. Affordable housing advocates and 'Yimby' (Yes-in-my-backyard) organisations argue that the value of the historical heritage is reflected in demand for living and office space and that historic structures are renovated wherever economically viable. The developers, in particular, argue that, in many cases, refurbishment would not be feasible or be too expensive and prevent the supply of high-quality space, which the people are so desperately looking for. Advocates of affordable housing point out that the preservation of old housing stock precludes the construction of more affordable, modern, higher-density & energy-efficient buildings for the lower-incomes and the young. If the "dreamers" (i.e., the PTP) succeeded with their unrealistic call for the CPA, construction costs would explode, leading to rising house prices that would eat up the modest increases in average household incomes achieved over the recent years. People should not allow a tiny minority to take over policymaking and overrule the fundamental interests of most citizens, who have the right to own or rent high-quality, affordable housing.

To deal with the increasingly heated political debate between the two lobbying groups, the Mayor of New Urbitania decides to appoint an independent Task Force (the "judges" in our case study) with the assignment to come up with an "optimal solution" for the residents of New Urbitania. The overarching aim of the Task Force is to enable **evidence-based policymaking**. The Task Force invites both lobbying groups for a hearing to gather the evidence. During the hearing, the two lobbying groups can make their respective "cases" (i.e., provide *arguments* and *evidence* in favour of or against extensive historic preservation of New Urbitania's inner city). The ultimate challenge of the Task Force is to make a recommendation to the Mayor. The Task Force can either adopt a proposal from either lobby group, or they can propose their own "compromise" solution.

Some stylized facts on New Urbitania:

The city has grown concentrically around a historic urban core, which still functions as the major employment centre.

Total population:	3 Mio, growing at 2%/year
Total city area:	1000 sqkm (the city is geographically constrained by rugged terrain outside the city borders, making residential expansion beyond existing borders increasingly tricky)
Total number of buildings:	500,000
CBD area:	100 sqkm
Historic area:	300 sqkm
Total number of “old” buildings:	250,000
Total number of “old” buildings downtown:	150,000

The **historic downtown** (or inner city)—partially still surrounded by the historic city “wall” consisting of primarily Victorian buildings—contains four distinct districts:

- **Grand Street** – the main shopping street and area
- The **political centre** with Mayor Hall, the famous St. Patrick’s Cathedral, the War Memorial and ‘Urbitania Fields’ (a mid-sized city park with various tourist and recreational attractions and a small zoo)
- The adjacent “**Bank Street Area**” – the city’s commercial district and, finally,
- **Camden Boroughs**: a residential (somewhat rundown) area adjacent to the Grand Street area that contains primarily Victorian housing – some small parts have recently been redeveloped; Camden Boroughs is where the original settlement occurred, and a tiny share of the existing buildings are ‘very old’ and arguably ‘highly significant’.

Average HH income:	\$45,000
Average HH income in the historical area:	\$33,000
Tenure mix:	Surrounding areas: 55% owner-occupied Downtown area: 35% owner-occupied

Specific Tasks for Working Subgroups A (A1 and A2)

You were nominated by the National Association of Real Estate Developers (NARED) and by the Affordable Housing Non-Profit Organization ‘REFUGE’ to lobby against the City Preservation Act (CPA). Your task is to ensure that the political process’s outcome is as favourable for the developers and would-be homebuyers as possible. Your end-of-year bonus (which would easily allow you to buy a luxurious new car and constitutes a good share of your salary) depends on whether you can convince policymakers (the members of Working Subgroup B) that your solution is a good one. To get the bonus, you don’t have to believe in your “cause” (although that may help), but you have to try to make the best possible case for your “cause”. (Your course lecturer may also take a view on whether or not you made a convincing case.)

Your “homework” before the seminar consists of four tasks:

- (i) Read or at least glance through (as a group) the following four papers (Given time constraints, you probably want to divide up the task! *Click on the blue hyperlinks for easy access*):

Key readings for task

- [1] Glaeser, E.L., J. Gyourko and R.E. Saks, 2005, “Why is Manhattan so Expensive? Regulation and the Rise in Housing Prices,” [*Journal of Law and Economics* 48\(2\), 331-369](#).
- [2] Hilber, C., C. Palmer and T. Pinchbeck, 2019, “The Energy Costs of Historic Preservation,” [*Journal of Urban Economics* 114, article 103197](#). (See Section 5 for a comparison of welfare effects of different studies.)

Other relevant readings

- [3] Cheshire, P. and C.A.L. Hilber, 2008, “Office Supply Restrictions in Britain: The Political Economy of Market Revenge,” [*Economic Journal* 118\(529\), F185-F221](#).
 - [4] Cheshire, P. and G. Dericks, 2020, “Trophy Architects' and Design as Rent-Seeking: Quantifying Deadweight Losses in a Tightly Regulated Office Market,” [*Economica* 87, 1078-1104](#).
- (ii) Consider and write down arguments supporting the notion that constraining the property rights of owners/buyers of historic properties would reduce supply, raise house prices, and affect affordability. Explain why the “market solution should be considered the most efficient outcome.
 - (iii) Think about the minimum outcome your lobbying group wants to achieve in the political bargaining (e.g., compensations for the private cost of preservation)
 - (iv) Think about a possible evidence-based strategy/evidence-based arguments that will help you to convince the policymakers of your “cause”.

Some further advice

Non-presenters of your sub-group are expected to help the pre-selected presenters. They can do so mainly by helping summarize the main relevant arguments within the readings listed above. Presenters should reach out to their fellow sub-group members for help by, e.g., allocating the four papers (one paper per student) across the group.

One last piece of advice. If your case is too extreme, it is unlikely to convince the “neutral” policymakers. You could also consider making two proposals: a more moderate one and an ‘extreme market solution’ (if you believe this would enhance the prospects of an outcome favourable to your lobbying group).